

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 21-02

**YSN IMPORTS INC. d/b/a FLAME KING,
Complainant,**

v.

**FEIGE “PEGGY” OBERLANDER, U SHIPPERS GROUP INC., U SHIPPERS GROUP
MANAGEMENT CO., INC.,
Respondents.**

RESPONDENTS’ OPPOSITION TO YSN’S MOTION TO COMPEL

Feige “Peggy” Oberlander, U Shippers Group Inc. (the “Association”), and U Shippers Group Management Co. Inc. (collectively “Respondents”) oppose YSN Imports Inc.’s (“YSN” or “Complainant”) motion to compel on the grounds that it is untimely and Respondents have already produced responsive documents regarding the Respondents’ finances, and any further production would be unduly burdensome and not lead to the production of admissible evidence.¹

YSN’s Motion to Compel is a transparent attempt to extend the existing discovery deadline in order to overcome its failure to obtain an expert report by the date required in the Presiding Judge’s Third Scheduling Order, and to delay the resolution of this action, which has placed the Association at a competitive disadvantage with YSN’s shipping association at the time when new service contracts are being awarded. The motion to compel, therefore, should be denied.

¹ It is ironic that YSN, having successfully objected to producing financial information regarding the competing shippers association it formed on the grounds that the information is extremely sensitive, now seeks to compel financial information regarding the Association, which information is duplicative of information already in its possession.

Factual Background and Discovery Timeline

On September 3, 2021, YSN propounded discovery requests on the Respondents. On October 22, 2021, the Respondents filed answers and objections to same. Respondents completed their document production on November 8, 2021 and produced over 100,000 pages of responsive documents in response to YSN's document requests in an easily searchable electronic format at the request of Complainant and at considerable expense to Respondents.

YSN's Document Request No. 8 sought documents regarding the Association's finances. In its October 22, 2021 responses to YSN's document requests, the Respondents objected to the request on the grounds that as drafted the request was overly broad and unduly burdensome. *See* attached Exhibit A². On December 6, 2021, YSN identified eighteen (18) separate categories of documents it contended the Respondents needed to produce, virtually all of which were subsumed under Document Request No. 8. Included were all bank account statements for the Association.

In subsequent communications, YSN asserted that Respondents needed to identify where individual documents were located in the document production. The Respondents objected to doing so on the grounds that Respondents had at Complainant's request produced documents in an electronic format that was easily searchable and allowed the Complainant to readily identify such documents. However, in a spirit of comity, Respondents identified *thirty (30) different spreadsheets* reflecting the containers shipped under the Contract, which even a rudimentary search would have identified. *See* Exhibit B. Respondents also produced, as YSN itself concedes, the Association's financial statements for the relevant time period, prepared by an accounting firm,

² Although the Commission Rules require that a motion to compel include the request in dispute and the response thereto, YSN neglected to include the Respondents' response. *See* 46 C.F.R. Section 502.150(a)(2). YSN compounded its error in this regard by suggesting that the Respondents had not objected to the Request. *See* YSN Motion at page 4.

in accordance with generally accepted accounting principles, which contained the information sought by YSN. *See* Exhibits 5 and 6 to YSN's Motion to Compel.³

Ms. Oberlander was deposed by YSN on December 16, 2021 in both her individual capacity and as a corporate representative of the corporation. Despite the fact that YSN knew that Respondents had produced financial statements but not individual bank statements, YSN did not object to proceeding with the deposition. YSN had the opportunity to fully question Ms. Oberlander on the Association and Management's financial operations. During the deposition, YSN failed to identify *a single instance* where it had insufficient information to depose Ms. Oberlander, and YSN did not reserve the right to continue the deposition.

On January 6, 2022, two weeks after the close of discovery, and one day before expert reports were due, Respondents made this motion claiming it needed additional financial documentation.

YSN's Motion to Compel Should be Denied

There are at least two reasons to deny YSN's motion:

A. The Motion is Untimely

On January 6, 2022, approximately two weeks after all fact discovery was to be completed, and one day before Expert Reports were due, YSN moved to extend the deadline for Expert Reports from January 7, 2022 to February 11, 2022. On the same day, YSN filed its motion to compel. The motion is clearly untimely, coming well after the close of fact discovery, and long after YSN and its counsel were aware of Respondents' objections.

³ Respondents also produced Management's Corporate Bylaws and Minutes, despite YSN's suggestion to the contrary.

It is important to note that the Scheduling Order has already been extended twice and that, in one of the Court's prior orders extending the Scheduling Order, the Court warned the parties to adhere to the new schedule. Respondents, including Ms. Oberlander who recently gave birth to a child, worked tirelessly to collect and produce responsive documents while defending the claims made by YSN. It is critical for Respondents that the claims against them be resolved expeditiously, as through discovery the Association learned that YSN is not just a former member of the Association, but started its own shipping association, using its claims against the Association to obtain a competitive advantage over the Association. This lawsuit has placed the Association at a significant disadvantage with YSN's new shipping association in trying to obtain new contracts with carriers for the upcoming year. Indeed, YSN has previously objected to the disclosure of information regarding its own shippers' association on the grounds that it was extremely sensitive and confidential (Doc No. 36) but now belatedly objects that the Association has not produced every piece of financial information no matter how tangential, to its competitor.

YSN has acted in a dilatory manner, waiting more than 13 days *after* fact discovery closed and months after it identified documents which it purportedly believes are "critical" to the action, in seeking its 13th hour reprieve. There is no legitimate basis to compel the production of such documents and extend the discovery deadline when YSN had improperly delayed seeking such documents, and waited two weeks after the close of fact discovery to make this motion.

B. The Documents Sought Will Not Lead To The Discovery of Admissible Evidence, Will Prejudice Respondents by Delaying the Resolution of this Matter, and Their Production Is Unduly Burdensome

As the Commission indicated in its order on Respondents' motion to dismiss, there is only one issue raised by YSN's Complaint that is within the Commission's jurisdiction to determine: whether the Association violated the Shipping Act by operating on a "for profit" basis. YSN received the Association's financial statements, deposed Ms. Oberlander and did not claim that it

needed more financial information until it made this motion 13 days after the close of fact discovery.

YSN claims that the documents it seeks are relevant to the question of whether the Association operates on a “for profit” basis, as well as the related question of whether the Commission may “pierce the corporate veil” of the Association to sweep in the Management company and Ms. Oberlander individually. (YSN Mot. Compel at 1).

Quite simply, the documents produced in discovery by the Respondents, including financial statements prepared by the Association’s CPA, provide all the information relevant or necessary to the question at issue. Thus, while YSN may be disappointed that Ms. Oberlander’s deposition testimony, and the Association’s accountant’s financial statements produced in discovery do not support its claims, that is not a legitimate basis for YSN to have failed to timely produce an expert report, or to extend discovery in the case.

Notably, YSN clearly was satisfied with the financial documentation it received, and only after discovery has closed, is it now seeking further financial documentation. It should have raised these issues in a timely manner if it was not satisfied with the documentation it received. It did not. It allowed the fact discovery deadline to pass, and then a day before expert reports were due, it made a motion to delay the resolution of this matter and give it more time to prepare an expert report.

The request to have the Respondents file every bank account which the CPA relied upon in preparing the financial statements smacks of harassment and provides no new information. YSN’s belated motion to compel should therefore be denied.

Dated: January 12, 2022

Respectfully submitted,

/s/ Brendan Collins

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*Counsel for Respondents Feige "Peggy"
Oberlander, U Shippers Group Inc., and U
Shippers Group Management Co., Inc.*

Exhibit A

FEDERAL MARITIME COMMISSION

Washington, D.C.

Docket No. 21-02

YSN IMPORTS INC. d/b/a FLAME KING, Complainant

v.

FEIGE “PEGGY” OBERLANDER, U SHIPPERS GROUP INC., U SHIPPERS GROUP
MANAGEMENT CO., INC., Respondents.

**RESPONDENTS’ RESPONSE TO COMPLAINANT’S
FIRST SET OF DOCUMENT REQUESTS**

In accordance with 46 CFR §502.146, Respondents Feige “Peggy” Oberlander, U Shippers Group Inc. (the “Association”), U Shippers Group Management Co., Inc. (“Management”) (all three Respondents collectively “Respondents”) hereby respond to Complainant YSN Imports Inc. d/b/a Flame King’s (“YSN” or “Complainant”) First Set of Document Requests dated September 3, 2021 (the “Requests”).

GENERAL OBJECTIONS

1. To the extent that any request may be construed as calling for information that is subject to a claim of privilege or immunity, including, without limitation, the attorney-client privilege or the work product immunity, Respondents hereby assert such privileges or immunities, and objects to the production of information subject thereto.

2. Respondents object to the Requests to the extent that they call for trial preparation or other information prepared in anticipation of, as a result of, or relating to litigation, or that is otherwise protected by the work-product doctrine or other applicable privilege or protection from disclosure.

3. Respondents object to the Requests to the extent that they seek the production of documents or information that contain, reflect, refer, or relate to confidential or proprietary information, trade secrets, competitively sensitive business or commercial information, strategic planning information, or other private and/or confidential information, absent an appropriate Confidentiality Order.

4. Respondents object to the Requests to the extent that they seek the production of documents that are available in the public domain and/or are equally accessible or more accessible to Defendants.

5. Respondents object to the Requests to the extent that they purport to impose upon Respondents any obligation beyond those imposed by the Federal Rules of Civil Procedure and any applicable rules of the Federal Maritime Commission.

6. Respondents object to the Requests to the extent that they are vague, overbroad, and/or lack sufficient precision to allow Respondents to formulate an appropriate response.

7. Neither the General Objections nor the Specific Responses set forth below are an admission relative to the existence of any documents or information sought, to the relevance or admissibility of any response, or to the truth or accuracy of any statement or characterization contained in any particular Request.

8. Respondents object that many of the Requests are overly broad, oppressive and unduly burdensome.

9. Respondents object to the Request to the extent that they seek documents beyond the time period when YSN first communicated regarding joining the Association until the date when YSN was terminated from the Association.

10. Respondents are prepared to meet and confer with Plaintiff to limit the Requests to reasonable and relevant categories of Documents.

11. Respondents object to these Requests to the extent that they seek information and documents that are not relevant to any issue in this proceeding and are disproportionate to the needs of the case considering the importance of the issues at stake in the action, the amount in controversy, the parties' relative access to relevant information, the parties' resources, the importance of the discovery in resolving the issues, and whether the burden or expense of the proposed discovery outweighs its likely benefit.

12. To the extent that any privileged information is inadvertently provided in response to the Requests, such disclosure is not to be construed as a waiver of such privilege.

13. These General Objections are incorporated into each and every response to the Individual Requests, below.

RESPONSES TO SPECIFIC REQUESTS

Request No. 1

All Documents and/or Communications between or among Feige "Penny" Oberlander ("Oberlander"), U Shippers Groups Inc. ("the Association"), and U Shippers Group Management Co., Inc. ("Management"), referring or relating to the formation, operation and management of Management and the Association including: articles of incorporation, corporate formation applications, bylaws and amendments thereto, shareholder certificates, shareholder register list, shareholder meetings, board of director meetings, corporate resolutions, and powers of attorney.

RESPONSE: Respondent's object to Request for Production No. 1 to the extent it requires documents related "to the formation, operation and management of Management" as not reasonably related to the production of admissible evidence and irrelevant. Respondents further objects to Request for Production No. 1 as overly broad and unduly burdensome. Notwithstanding that objection and without waiver thereof, responsive documents are attached.

Request No. 2

All Documents and/or Communications between or among Oberlander, the Association, and Management with shipper members of the Association referring or relating to container shipments under Service Contracts including, but not limited to all of the documents and communications exchanged with Maersk, Ocean Network Express (“O.N.E.”), and Poly & Bark.

RESPONSE: Respondents object to Request for Production No. 2 as overly broad, unduly burdensome, and not reasonably calculated to lead to the discovery of admissible evidence. Respondents further objects to Request for Production No. 2 to the extent it seeks documents that contain, reflect, refer, or relate to confidential or proprietary information, trade secrets, competitively sensitive business or commercial information, strategic planning information, or other private and/or confidential information. Notwithstanding that objection and without waiver thereof, Respondents will produce documents reflecting communications with shipper members and the specified carriers related to: 1) negotiation of rates or inflated spot rates; 2) , rolling over of cargo by carriers; 3) limiting or blocking of cargo; 4) weekly allocations; and/or 5) suspended or terminated service contract rates. To protect the confidential nature of said information, and to ensure that the information disclosed does not run afoul of antitrust concerns, information relating to member identities shall be redacted.

Request No. 3

All Documents and/or Communications between or among Oberlander, the Association, and Management concerning all charges, rates, fees and additional fees invoiced to Members for the services of the Association or Management.

RESPONSE: Respondents object to Request for Production No. 3 as overly broad, unduly burdensome, and not reasonably calculated to lead to the discovery of admissible evidence. Notwithstanding that objection and without waiver thereof, responsive documents are attached.

Request No. 4

All Documents and/or Communications between Respondents, Members and ocean carriers concerning freight contracts, negotiation of applicable rates and fees, and volume of shipments offered to ocean carriers for purposes of securing any Service Contract.

RESPONSE: Respondents object Request for Production No. 4 as overly broad, unduly burdensome, and not reasonably calculated to lead to the discovery of admissible evidence. Notwithstanding that objection and without waiver thereof, responsive documents are attached.

Request No. 5

Any and all Documents and/or Communications concerning the Respondents’ decision to impose additional fees upon its Members for use of Service Contracts, including any supports for costs and expenses incurred by the Association justifying imposition of such charges, fees or additional fees.

RESPONSE: Respondents object to Request for Production No. 5 as overly broad and unduly burdensome. Notwithstanding that objection and without waiver thereof, responsive documents are attached.

Request No. 6

Any and all Documents and/or Communications amongst Oberlander, Management, the Association concerning the payment of additional fees by Members including a complete accounting of revenue generated by the Association from its Members for collection of all fees, additional fees or charges to use Service Contracts.

RESPONSE: Respondents objects to Request for Production No. 6 as largely duplicative of Request for Production No. 5. Respondents further object Request for Production No. 6 as overly broad and unduly burdensome, and not reasonably calculated to lead to the discovery of admissible evidence. Notwithstanding that objection and without waiver thereof, Respondents will produce documents during the time period when YSN was a member of the Association. Responsive documents are attached.

Request No. 7

Any and all Documents and/or Communications referring or relating to the Association's quantity of container shipment bookings on behalf of their Members pursuant to Service Contracts with ocean carriers.

RESPONSE: Respondents object to Request for Production No. 7 as overly broad and unduly burdensome. Notwithstanding that objection and without waiver thereof, Respondents will produce documents during the time period when YSN was a member of the Association. Responsive documents are attached.

Request No. 8

Any and all Documents and/or Communications referring or relating to payments or disbursements from the Association to Management and/or Oberlander and/or any third parties of the Association's revenue, profits, reimbursements or other financial transactions between the Association, Management, and Oberlander as they relate to the Shipping Association and its members.

RESPONSE: Respondents object to Request for Production No. 8 as overly broad and unduly burdensome. Notwithstanding that objection and without waiver thereof, responsive documents are attached.

Request No. 9

Any and all contracts or agreements between the Association and its Members and any amendments and/or terminations thereto including all correspondence relating to such contracts or agreements

RESPONSE: Respondents object to Request for Production No. 9 as overly broad and unduly burdensome, and not reasonably calculated to lead to the discovery of admissible

evidence. Respondents will produce documents during the time period when YSN was a member of the Association. Notwithstanding that objection and without waiver thereof, responsive documents are attached.

Request No. 10

Any and all communications between YSN and Oberlander, Management, and the Association concerning container shipments, Service Contracts, and the charges, fees or additional fees thereunder.

RESPONSE: Respondents object to Request for Production No. 10 as overly broad and unduly burdensome. Notwithstanding that objection and without waiver thereof, responsive documents are attached.

Request No. 11

Documents and/or Communications referring or relating to any responses, complaints, claims or other issues by Members to Respondents relating to the rates, fees, additional fees or other charges imposed by the Association for use of its Service Contracts.

RESPONSE: Respondents object to Request for Production No. 11 as overly broad and unduly burdensome. Notwithstanding that objection and without waiver thereof, responsive documents are attached.

Request No. 12

Documents and Communications concerning transfer of any funds from the Association to Management, Oberlander or any third party as payment for alleged “successful efforts on a continuing basis” to prevent Maersk or other ocean carriers from assessing substantially inflated spot rates.

RESPONSE: Respondents object to Request for Production No. 12 as overly broad and unduly burdensome. Notwithstanding that objection and without waiver thereof, responsive documents are attached.

Request No. 13

All Documents and Communications concerning allocations set by the Association for its Members (and in particular for Complainant) for use of the Service Contracts with Maersk or any other ocean carrier, including support for the Association’s assertion that there was limited space available through the Maersk system and that Members should not overbook.

RESPONSE: Respondents object to Request for Production No. 13 as overly broad and unduly burdensome. Notwithstanding that objection and without waiver thereof, responsive documents are attached.

Request No. 14

All Documents and Communications concerning termination of YSN d/b/a Flame King from the Association including any alleged overbooking, excessive or disproportionate use of the Service Contract with Maersk by Complainant.

RESPONSE: Respondents object to Request for Production No. 14 as overly broad and unduly burdensome. Notwithstanding that objection and without waiver thereof, responsive documents are attached.

Request No. 15

All documents identified by Respondents in their Initial Disclosures.

RESPONSE: Responsive documents are attached.

Request No. 16

All documents not previously identified above, which Respondents intend to use or rely upon in furtherance of its response and any defenses to the complaint, or in any dispositive motion in this action.

RESPONSE: Respondents objects to Request for Production No. 16 as overly broad and unduly burdensome.

Dated: October 22, 2021

By: /s/ Brendan Collins

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Counsel for Respondents

CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel for Complainant at the following address(es):

J. Michael Cavanaugh
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Executed: October 22, 2021

/s/ Brendan Collins
Brendan Collins

Exhibit B

From: Brendan Collins

Sent: Wednesday, December 15, 2021 5:16 PM

To: Foley, Vincent (NYC - X73357) <Vincent.Foley@hklaw.com>; Kalogjera-Sackellares, Chiara D (NYC - X73584) <Chiara.Sackellares@hklaw.com>; Efrem Schwalb <eschwalb@koffskyschwalb.com>; Cavanaugh, J. Michael (WAS - X75084) <michael.cavanaugh@hklaw.com>

Subject: RE: Reparation claim

Vincent, after reviewing the Respondents' production I must admit to be somewhat astounded by your statement regarding your inability to determine the number of containers shipped. Excel Spreadsheets regarding Association Capacity Management, which appear at the bates number below, provide detailed information on shipments under the Data Tab.

Regarding the financial statements, I believe they were produced but rather than doing a search, I will simply re-send them in a follow up email.

I look forward to your response to my query regarding the location of documents showing the basis for your reparation claims.

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USG00089246

USG00091464
USG00093489
USG00096193
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From: Foley, Vincent (NYC - X73357) <Vincent.Foley@hklaw.com>
Sent: Wednesday, December 15, 2021 2:54 PM
To: Brendan Collins <BCollins@gkglaw.com>; Kalogjera-Sackellares, Chiara D (NYC - X73584) <Chiara.Sackellares@hklaw.com>; Efrem Schwalb <eschwalb@koffskyschwalb.com>; Cavanaugh, J. Michael (WAS - X75084) <michael.cavanaugh@hklaw.com>
Subject: RE: Reparation claim

I will inquire about it. You said this morning you would inquire about providing bates references for produced documents (1) the total list of containers moved since December 1, 2020 and (2) the bates numbers for financial statements for when YSN was a member and those produced until April 30 2021. Can you please provide that information?

Vincent Foley | Holland & Knight

Partner

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Sent: Wednesday, December 15, 2021 1:21 PM
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Subject: Reparation claim

[External email]

In our discussions you referenced a spreadsheet that reflected the basis for all of YSN's claims for reparations. Please tell us where that document is in your production.

Thank you.

Sent from my iPhone

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CERTIFICATE OF SERVICE

I hereby certify that that on this 12th day of January, 2022, I have served the foregoing document upon all parties of record by electronically mailing a copy to each such person.

/s/Brendan Collins

Brendan Collins